IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P (CAA) No. 12/BB/2017
U/sec.230-232 of the Companies Act, 2013

IN THE MATTER OF SCHEME OF ARRANGEMENT
BETWEEN
CHEMINOVA INDIA LIMITED
AND
FMC INDIA PRIVATE LIMITED
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on:**13th November, 2017**

Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

FMC India Private Limited,
Embassy Star #8, 1st Floor
Palace Road,High Grounds,
Bangalore- 560 052 - **Petitioner/Transferee Company**

Parties Present :
1) Ms. Priyanka Prasad, Advocate
Luthra & Luthra Law Offices 3rd Floor,
Onyx Centre, No.05, Museum Road
Bengaluru 560001
Advocate for the Petitioner Company
2) Ms.Sinchana M. R., Advocate
Advocate for Regional Director

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)** – Author

Heard on: 19.06.2017, 23.06.2017, 10.07.2017, 19.07.2017, 27.07.2017, 05.09.2017, 18.09.2017, 06.10.2017, 13.10.2017, 26.10.2017 & 02.11.2017

O R D E R

This Company Petition was filed on behalf of the Petitioner Company under Section 230 and 232 of the Companies Act, 2013, praying to order for sanctioning the Scheme of Arrangement of the Transferor Company and the Petitioner/Transferee Company and shall be binding upon all the Shareholders and Creditors of the Petitioner Company.

The averments made in the Company Petition are briefly described hereunder:-

The Petitioner Company seeks an order for sanctioning the Scheme of Arrangement of **CHEMINOVA INDIA LIMITED** (Transferor Company) and **FMC INDIA PRIVATE LIMITED** (Petitioner/Transferee Company) whereunder **Commercial Division (comprising**

the Supply Chain Division and R&D Division) of Cheminova India Limited (Transferor Company) is proposed to be demerged into **FMC India Private Limited** (Petitioner/Transferee Company) and shall be binding upon all the Shareholders and Creditors of the Petitioner Company. The Scheme of Arrangement is shown as **Annexure A.**

The Transferor Company was incorporated on 15th January, 1986 under the name and style of LUPIN AGRO CHEMICALS (INDIA) PRIVATE LIMITED in the State of Mahrashtra. Subsequently, the name of the company was changed to **CHEMINOVA INDIA LIMITED** on 27th January, 1998 and obtained fresh Certificate of Incorporation vide bearing CIN No. U24100MH1986PLC038627.

The Registered office of the Transferor Company is situated at The Centrium, Unit No.2,Level 4, Phoenix Market City, L.B.S.Marg, Kurla(West), Mumbai-400070.

The Main objects of the Transferor Company as set out in its Memorandum of Association are, inter alia includes, hereunder:

i.) To carry on the business of manufacturing, buying, selling, acquiring, marketing, processing, distributing, supplying, importing, exporting or otherwise dealing in all kinds of agro-chemicals, fertilizers, guano's manures, mixtures, phosphorus, rocks, phosphate deposits and derivatives thereof.

ii.) To manufacture and deal in fertilizers, manures, pesticides, rodenticides, insecticides, fungicides, weedicides and any and all such products and preparation by whatever name called for agriculture and allied purposes and for preservation of food, grain etc.

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company are shown as **Annexure F.**

As per the audited Balance Sheet of the Transferor Company as on 31st March, 2015 the Assets and Liabilities are as follows:-

Currency (Rs in '000)

	Note	31st December, 2015	31st December, 2014
EQUITY AND LIABILITIES			
Shareholders' funds			
Share capital	3	303,500	303,500
Reserve & Surplus	4	2,828,169	2,679,291
		3,131,669	**2,982,791**

Non-current Liabilities			
Long-term borrowings	5	1,900,000	-
Deferred tax liabilities	42	8,983	9,301
Other long-term liabilities	6	131,700	130,775
Long term provisions	7	65,718	61,749
		2,106,401	**201,825**
Current Liabilities			
Short term borrowings	8	2,637,000	2,104,798
Trade payables			
Due to micro and small enterprises	9	642	-
Due to others		2,458,456	3,938,168
	9	175,704	161,537
Other current liabilities		327,837	314,893
Short term provisions	10	**5,599,639**	**6,519,396**
	11		
TOTAL		**10,837,709**	**9,704,012**
ASSETS			
Non-current assets			
Fixed Assets			
Tangible assets	12	1,091,436	1,033,440
Intangible fixed assets	12	61,636	40,852
Capital work in progress		244,064	307,625
		1,397,136	**1,381,917**
Non-current investments	13	5,803	5,803
Long term loans and advances	14	378,417	233,958
		1,781,356	**1,621,678**
Current assets			
Inventories	15	1,763,348	1,855,374
Trade receivables	16	6,542,535	5,179,038
Cash and bank balances	17	169,099	236,196
Short term loans and Advances	18	307,673	627,143
Other current assets.	19	273,698	184,583
		9,056,353	**8,082,334**
TOTAL		**10,837,709**	**9,704,012**

The Audited Balance Sheet as on 31st March, 2015 and the Unaudited Financial Statement as on 31st March, 2016 and 31st August, 2016 of the Transferor Company are shown as **Annexure-G & H** respectively.

The Petitioner/ Transferee Company was incorporated on 6th April, 2000 under the name and style of FMC RALLIS INDIA PRIVATE LIMITED in the State of Maharashtra.

Subsequently, the name of the company was changed to **FMC INDIA PRIVATE LIMITED** on 24th September, 2001 and further the registered office was changed from the state of Maharashtra to Karnataka on 27th May, 2003 and obtained fresh Certificate of Incorporation vide bearing CIN No. U02429KA2003PTC032004

The Registered office of the Petitioner/Transferee Company is situated at Embassy Star # 8, 1st Floor, Palace Road, High Grounds, Bangalore-560052

The Main Object's of the Petitioner/Transferee Company as set out in the Memorandum of Association are, inter alia includes, hereunder :

i.) to carry on the business as manufacturers, importers, exporters and dealers of chemical products of any nature and kind whatsoever and as manufacturers of basic chemicals, agrochemicals, fine chemicals, chemical auxiliaries, alkalies, pharmaceutical, veterinary products, photographical and medicinal chemicals, industrial and other preparations, compounds, drugs, dyestuff, organic or mineral intermediaries as well as manures and fertilizers of all nature and kind.

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the Petitioner/Transferee Company are shown as **Annexure B.**

As per the audited Balance Sheet of the Petitioner/Transferee Company as on 31st March, 2016 the Assets and Liabilities are as follows:-

	Note	(Amount in Rs.) As at 31 March 2016	(Amount in Rs.) As at 31 March 2015
EQUITY AND LIABILITIES			
Shareholders' funds		10,000,000	10,000,000
Share capital	2.1	245,529,415	272,431,362
Reserve & Surplus	2.2		
		255,529,415	**282,431,362**
Non-current Liabilities			
Long-term borrowings	2.3	313,364,378	141,558,429
Other long-term liabilities	2.4	-	54,767
Long term provisions	2.5	19,723,946	13,405,660
		333,088,324	**155,018,856**
Current Liabilities			
Short term borrowings	2.6	210,211,258	174,850,857
Trade payables	2.7	1,242,724,516	914,269,492
Other current liabilities		126,735,205	101,034,761
Short term provisions	2.8	3,294,721	11,447,242

	2.5		
		1,582,965,700	**1,201,602,352**
TOTAL		**2,171,583,439**	**1,639,052,570**
ASSETS **Non-current assets** Fixed Assets Tangible fixed assets Intangible fixed assets	 2.9 2.9	 155,682,335 -	 185,535,492 33,242
Long-term loans and advances	2.10	**155,682,335** 79,487,404	**185,568,734** 57,893,708
Current assets Inventories Trade receivables Cash and bank balances Short term loans and Advances.	 2.11 2.12 2.13 2.14	 816,657,516 1,008,378,961 20,377,263 90,999,960	 525,936,087 743,406,373 43,425,901 82,821,761
		1,936,413,700	**1,395,590.127**
Total		**2,171,583,439**	**1,639,052,570**

The Audited Balance Sheet as on 31st March, 2016 and the Unaudited Financial Statement as on 31st August, 2016 of the Petitioner/Transferee Company are shown as **Annexure-C & D** respectively. The copy of the Net Worth Certificate of the Petitioner/ Transferee Company as on 31st March, 2016 is shown as **ANNEXURE-E.**

The Board of Directors of the Transferor Company and Petitioner/Transferee Company have approved and adopted the Scheme of Arrangement at their respective meetings held on 1st September, 2016 & 2nd September, 2016 by virtue of which the **Commercial Division (comprising the Supply Chain Division and R&D Division)** of the **Transferor Company** is proposed to be demerged into the **Transferee Company** , subject to the confirmation of this Hon'ble Tribunal and the Hon'ble NCLT at Mumbai, within whose jurisdiction, the registered offices of the Transferee and Transferor companies respectively, are situated. The copies of the Board Resolutions of the respective Companies are shown as **Annexure-K & J** respectively.

It is further averred that, the Petitioner Company had filed Company Application No.707/2017 before the Hon'ble High Court of Karnataka for dispensing and if thought fit the meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Company and subsequently the matter was transferred to this Tribunal. This Tribunal vide its **Order dated 21st April, 2017** allowed the Company Application and dispensed with the convening the meetings of the Equity Shareholders, Secured Creditors and

Unsecured Creditors of the Petitioner Company. The Copy of the Order of this Tribunal is shown as **Annexure- N.**

It is averred in the Company Petition that the notice of the Petition be issued to Regional Director, South Eastern Region; Registrar of Companies, Karnataka; Income Tax Authority and filed Memo dated 25th July, 2017 furnishing the details of the assessing Officer/Circle under which the Petitioner/Transferee Company comes for assessment purposes.

The Counsel for the Petitioner Company has filed the **Affidavit dated 20th June, 2017** of the Authorised Signatory of the Petitioner Company stating that the Petitioner/Transferee Company is not listed on any stock Exchange, the SEBI and need not be served with the Notice of the Petition. The Petitioner Company is not regulated by the Reserve Bank of India Act, 1934.The transaction under the Scheme also does not come within the financial threshold limits prescribed to attract the requirement of approval under the Competition Act, 2002. Necessarily for all these reasons no notice to the RBI, CCI, Stock Exchanges or any other sectoral regulators or authorities.

This Tribunal vide **Order dated 27th July, 2017** directed the Petitioner Company to issue Notice to Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad; Registrar of Companies, Karnataka and concerned Income Tax Department and also to have an advertisement of Notice of Petition be carried out in the '**New Indian Express**', an English daily Newspaper and '**Kannada Prabha**', a Kannada daily Newspaper and stating the next date of hearing as on 05th September, 2017.

In pursuant to the same the Counsel for the Petitioner/Transferee Company has filed the **Affidavit dated 3rd August, 2017** for issuance of notice to the above said Authorities. The Compliance letter addressed to the Authorities dated 1st August, 2017 and the Postal receipts has also been filed along with the Affidavit. Subsequently, the Counsel for the Petitioner/Transferee Company has filed **Affidavit dated 4th September, 2017** for carrying out the Advertisement of the Petition in **New Indian Express**', an English daily Newspaper and '**Kannada Prabha**', a Kannada daily Newspaper. The Copies of Paper Publication are shown as **Annexure 1** along with the Affidavit.

The Registrar of Companies, Karnataka, Bangalore vide letter No. ROCB/LEGAL/CAA/12/BB/2017 **dated 18th September, 2017** has filed his Report stating

that the Petition may be decided on merits. Since, Registrar of Companies has not raised any comments/observations with respect to the scheme of Arrangement of the Petitioner Company. Therefore, it can be presumed that the Registrar of Companies has no objection.

The Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad has filed its **Affidavit dated 26th October, 2017** stating that the they have examined the scheme with reference to the material papers made available to him and does not have any representation and the Scheme may be decided on merits.

The Counsel for the Petitioner Company has filed the **Affidavit dated 13th October, 2017** of the Authorised Signatory of the Petitioner Company stating that Scheme of Arrangement between the Cheminova India Limited and FMC India Private Limited, is just, fair and reasonable. It is for the benefit of Shareholders, Creditors and employees. It is also not violative of any provisions of law or contrary to public policy and further undertakes to comply with all provisions of law.

The Counsel for the Petitioner Company has also filed the Share Exchange Ratio Certificate of the Chartered Accountant **dated 16th August, 2016** making Recommendation of Share Entitlement Ratio for the proposed demerger of Commercial Undertaking of Cheminova India Limited (Transferor Company) into FMC India Private Limited (Petitioner/Transferee Company).The said Share Swap Ratio issued by the Chartered Accountant in this regard is shown as **Annexure L.**

The Counsel for the Petitioner Company has also filed the copy of Accounting Treatment Certificate of the Chartered Accountant **dated 20th January, 2017** stating that in the absence of authoritative and specific guidance on demerger accounting, the Accounting Treatment proposed in the Scheme is not in non-conformity with the Applicable Accounting Standards notified by the Central Government under the Act. The Copy of the said Certificate is shown as **Annexure M.**

The Counsel for the Petitioner Company has filed the Order dated 27th April, 2017 of the NCLT Mumbai Bench in C.P.(CAA)No.12/BB/2017 in respect of Scheme of Arrangement between the Cheminova India Limited and FMC India Private Limited. The copy of the said Order is filed along with **Memo dated 19th June, 2017.**

After hearing the Counsel for the Petitioner Company and considering the material on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy,

THIS TRIBUNAL DO FURTHER ORDER

The Scheme of Arrangement of **CHEMINOVA INDIA LIMITED** (Transferor Company) and **FMC INDIA PRIVATE LIMITED** (Petitioner/Transferee Company) whereunder **Commercial Division (comprising the Supply Chain Division and R&D Division) of Cheminova India Limited** (Transferor Company) is proposed to be demerged into **FMC India Private Limited** (Petitioner/Transferee Company) and shall be binding upon all the Shareholders and Creditors of the Petitioner Company is **SANCTIONED**.

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Commercial Division (comprising the Supply Chain Division and R&D Division) of the Transferor Company be transferred without further act or deed to the Petitioner/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Petitioner/Transferee Company for all the state and interest of the Commercial Division (comprising the Supply Chain Division and R&D Division) of the Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Commercial Division (comprising the Supply Chain Division and R&D Division) of the Transferor Company be transferred without further act or deed to the Petitioner/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner/Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Commercial Division (comprising the Supply Chain Division and R&D Division) of the Transferor Company be continued by or against the Petitioner/Transferee Company, if any; and

The Commercial Division (comprising the Supply Chain Division and R&D Division) of the Transferor Company shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Arrangement i.e. 1st April, 2016.

The Commercial Division (comprising the Supply Chain Division and R&D Division) of the Transferor Company or its authorised signatory is directed that after the completion of the process of Arrangement to handover the possession of the Books of Accounts and other relevant documents of the Commercial Division (comprising the Supply Chain Division and R&D Division) of the Transferor Company to the Petitioner/Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply the tribunal in the above matter for any directions that may be necessary.

13/11/2017

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

13.11.17

(RATAKONDA MURALI)
MEMBER, JUDICIAL